such transfers. How to do this without providing disincentives to working and earning is a future problem born of success which is best left for another day. The United States has dealt with the disincentive effects of getting off welfare with programmes like the earned income tax credit.

Another set of concerns has to do with whether private providers will bother to provide services in remote areas. Clearly, if people in remote areas have the cash to buy, private providers will find their way there. Indeed, a particularly desirable outcome will be if some of the poor find work providing services that hitherto used to be provided by public servants. Moreover, implementing cash transfers does not mean dismantling the system of public delivery wherever it is effective – it only means that the poor will pay when they use the public service.

The broader takeaway is that financial inclusion and direct benefits transfer can be a way of liberating the poor from dependency on indifferently delivered public services, and thus indirectly from the venal but effective politician. It is not a cure-all but will help the poor out of poverty and towards true political independence. But financial inclusion can do more; by liberating the poor and the marginalized from the clutches of the moneylender, by providing credit and advice to the entrepreneurial amongst the poor, and by giving households the ability to save and insure against accidents, it can set them on the road to economic independence, thus strengthening the political freedom that good public services will bring. This is why financial inclusion is so important.

FIVE Ps OF FINANCIAL INCLUSION

Let me end with a vision of how the RBI can speed up and enhance financial inclusion of the kind I have just outlined. Financial inclusion